CLAIMIQ DEMO INSURANCE

Complex and High-Risk Motor Claims Review & SIU Escalation SOP

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Synthetic training-free reference document for the ClaimIQ DTAI capstone prototype

IMPORTANT PROTOTYPE NOTICE

This document is a fictional, educational policy/SOP created for a student AI prototype. It is designed to resemble Indian private motor insurance practice but is not filed with IRDAI, not issued by a licensed insurer, and must not be sold, relied upon for real claim settlement, or presented as legal advice.

Prepared for retrieval-augmented generation (RAG), rule-engine testing and live application demonstration.

Document Map

The numbered clauses below are intentionally stable so that ClaimIQ can cite them as retrieval sources and rule-engine evidence.

1. Purpose and Scope

1.1 This SOP governs private-car own-damage claims that are severe, high-value, technically complex or contain material inconsistencies requiring specialist assessment beyond routine claims handling.

1.2 It covers Specialist Review, field/technical survey where appropriate, total-loss/CTL evaluation and referral to a Special Investigation Unit (SIU).

1.3 SIU referral is an investigative control. A referral or high risk score does not mean fraud has been established.

2. Specialist-Review Principles

- Separate severity from suspicion: a rollover may be high severity without being suspicious.
- Use multiple evidence points before escalating to SIU.
- Never repudiate solely because an AI model, anomaly score or benchmark flags a claim.
- Preserve evidence before destructive repair, dismantling or salvage disposal where material causation is unresolved.
- Use proportional investigation: request evidence relevant to the issue, not broad unrelated personal information.
- Maker-checker: adverse coverage or fraud-related decisions require authorized human review.

3. Mandatory Escalation Triggers

3.1 Severity / Technical Triggers

- Rollover, major underbody/structural impact, chassis/frame distortion or multiple airbag deployment.
- Fire claim involving substantial vehicle damage.
- Flood/water-ingress claim involving engine/gearbox internal damage.
- Estimate or assessed retrieval/repair cost ≥60% of IDV (early CTL watch) or >75% of IDV (formal CTL trigger under supported policies).
- Estimated own-damage settlement >₹2,50,000.

- Complete engine, gearbox, steering rack, suspension subframe or airbag-module replacement where causation requires technical validation.

3.2 Material Inconsistency Triggers

- Repair item located on a materially different vehicle area from the documented impact, without plausible secondary-impact explanation.
- Duplicate or near-duplicate labour/part lines that change gross estimate by >₹10,000.
- Estimate total differs from itemized arithmetic by >₹5,000 or >2%, whichever is greater.
- Vehicle identity, registration, VIN/chassis, policy or estimate vehicle details materially disagree.
- Submitted document appears altered, internally inconsistent or has unexplained duplicate versions.
- Accident narrative materially changes after evidence request and the change affects coverage or quantum.

3.3 Behaviour / History Triggers

- Three or more own-damage claims in the preceding 12 months, where available history supports the count.
- Prior claim involved the same damage area/part and potential overlap has not been resolved.
- Late intimation combined with completed repairs or destroyed evidence such that causation cannot reasonably be verified.
- Unexplained request to settle to a third-party account or materially different beneficiary.

Important

No single trigger above proves fraud. Severity triggers normally lead to technical specialist review. SIU referral requires the criteria in Section 8.

4. Severity and CTL Workflow

1. Validate IDV from the active Policy Schedule; do not recalculate it from market listings.
2. Obtain reasonable repair/retrieval estimate and identify safety-critical/structural operations.
3. Calculate repair-cost-to-IDV ratio.
4. At ≥60% IDV, initiate CTL watch and obtain enhanced survey/technical assessment before major repair authorization.
5. At >75% IDV under supported policies, classify as CTL candidate and obtain authorized total-loss decision.
6. Assess salvage/wreck treatment, deductible, finance/hypothecation requirements and applicable add-on such as Invoice Gap.

4.1 The 60% threshold is an internal early-warning level for this prototype; the >75% threshold is the contractual CTL trigger in the supported synthetic policies.

5. Semantic and Repair Inconsistencies

5.1 ClaimIQ may use a foundation model to compare accident narrative, impact location and normalized repair items. The model may classify a line as consistent, possibly consistent, requires verification or inconsistent with the described impact.

5.2 A semantic mismatch must be verified against photographs, secondary impact, towing damage, pre-existing damage records, garage explanation and/or physical inspection before any adverse decision.

Finding	Required action
Single low-value mismatch ≤₹10,000	Desktop clarification; do not refer to SIU solely on this basis.
Mismatch >₹10,000 or safety-critical part	Specialist technical review.
Multiple geographically inconsistent repairs	Specialist review; consider field inspection.
Mismatch plus altered/duplicate documents or material history conflict	Consider SIU referral under Section 8.

6. Document and Identity Anomalies

6.1 Verify material anomalies using original/source documents where available. OCR confidence is not evidence of manipulation.

Anomaly	Response
Registration/VIN mismatch	Stop settlement; verify vehicle identity and policy linkage.
Estimate/invoice dates inconsistent with loss chronology	Seek explanation and source document.
Arithmetic/duplicate-page issue	Reconcile with garage before assessment.
Visible edit/overwriting on material field	Obtain original/issuer confirmation; consider SIU if unexplained and material.
Licence/driver issue affecting coverage	Route to authorized coverage reviewer; do not auto-repudiate.

7. Provider / Garage Anomaly Review

7.1 Provider benchmarks in ClaimIQ are synthetic and serve only as review signals. They must not be treated as definitive market prices.

7.2 Review dimensions may include labour rate, paint cost per panel, parts-to-labour ratio, replacement intensity, duplicate operation rate and estimate-to-IDV ratio.

Signal	Prototype threshold	Action
Labour-rate variance	>40% above relevant benchmark	Seek rate basis / negotiate / specialist review if material.
Paint-cost variance	>50% above benchmark across ≥2 panels	Request breakup and material/labour split.
Replacement intensity	>70% of affected repair lines are replacement	Check repairability and OEM guidance.
Potential leakage	Estimated excess >₹25,000	Specialist review.
Provider pattern	Same garage repeatedly produces high-risk flags in demo history	Manager/provider-review note; not claim denial.

8. SIU Referral Criteria

8.1 SIU referral should ordinarily require either one critical integrity trigger or at least two independent material concern categories. The Claims Manager must record the referral basis.

8.2 Critical Integrity Triggers

- Confirmed forged/tampered material claim document or issuer denial of a submitted document.
- Confirmed vehicle-identity manipulation or policy/vehicle substitution.
- Evidence of staged/collusive loss from reliable external/physical evidence.
- Material false statement after the insured has been given an opportunity to clarify and the fact affects coverage or quantum.

8.3 Two-Signal Referral Rule

In the absence of a critical trigger, SIU referral may be considered when at least two independent categories remain unresolved after first-level clarification, for example: material impact mismatch + duplicate/altered invoice; overlapping prior damage + contradictory accident account; or provider anomaly + materially unverifiable repair evidence.

8.4 A high ClaimIQ Review Risk Score by itself is never sufficient for SIU referral.

9. Investigation Controls

9.1 Investigation may include focused interviews, garage verification, document-source confirmation, inspection of replaced parts, vehicle diagnostics, prior-claim comparison and other lawful evidence relevant to the identified issue.

9.2 Preserve chain of custody for physical evidence or original documents where required. Record who collected, received and reviewed each item.

9.3 No investigator should intimidate, misrepresent authority, seek unrelated sensitive data or imply that referral itself proves wrongdoing.

9.4 Claims operations should continue resolving undisputed aspects where practical, rather than holding the entire claim without need.

10. Decision Governance and Authority

Decision	Minimum authorization
Specialist technical settlement ≤₹5,00,000	Claims Manager
Settlement >₹5,00,000	Senior Claims Authority
CTL / total-loss classification	Claims Manager + authorized survey/technical recommendation where applicable
SIU referral	Claims Manager
Fraud-related repudiation / adverse integrity decision	Senior Claims Authority after documented investigation and policy/legal review
AI-generated adverse recommendation	Cannot be actioned without human validation

11. Customer Communication

11.1 Communications should distinguish between a request for verification and an allegation. Preferred wording: “additional verification is required” or “the submitted evidence is inconsistent and needs clarification.”

11.2 If additional documents are needed, state exactly what is required, why it is relevant and the claim issue it addresses.

11.3 Any reduction, denial or adverse claim decision must be reasoned, identify the applicable policy basis and explain available review/grievance channels.

12. Closure and Learning

12.1 Record final cause-of-loss view, settlement, unresolved issues, SIU outcome where applicable, provider findings and any control recommendation.

12.2 Provider or claim-pattern insights may be used to improve future review rules only after governance review. The ClaimIQ capstone prototype does not train or fine-tune models on closed claims.

12.3 False-positive flags should be documented so management can distinguish genuinely useful controls from overly sensitive rules.

Appendix A - ClaimIQ Specialist Rule Summary

Rule ID	Trigger	Action
SOPB-CTL-WATCH	Repair/retrieval ≥60% IDV	Specialist + CTL watch
SOPB-CTL	Repair/retrieval >75% IDV	CTL candidate
SOPB-HV	Indicative settlement >₹2.5L	Specialist review
SOPB-ROLL	Rollover / structural / multi-airbag	Specialist review
SOPB-MISMATCH	Material impact mismatch >₹10k	Specialist review

Rule ID	Trigger	Action
SOPB-DUP	Duplicate lines change estimate >₹10k	Specialist review
SOPB-ARITH	Estimate mismatch >₹5k or >2%	Clarify / specialist if unresolved
SOPB-LEAK	Potential leakage >₹25k	Specialist review
SOPB-SIU-C	Critical integrity trigger confirmed	SIU referral
SOPB-SIU-2	Two independent material concern categories unresolved	Consider SIU
SOPB-AI	High AI risk score alone	Not sufficient for SIU/adverse decision

Drafting Basis and Regulatory References

This synthetic document is informed by public Indian motor-insurance materials and is intentionally re-written rather than copied. The following sources were used as drafting references for realism:

- Motor Vehicles Act, 1988, including statutory third-party insurance requirements.
- IRDAI-hosted Private Car Package Policy wordings, including own-damage perils, parts depreciation, painting treatment, CTL treatment and standard claim conditions.
- IRDAI (Protection of Policyholder's Interests, Operations and Allied Matters of Insurers) Regulations, 2024.
- IRDAI (Insurance Surveyors and Loss Assessors) Regulations, 2024 and related claims-governance principles.

Where this document specifies internal monetary thresholds, routing cut-offs, risk scores, service standards or approval levels, those values are synthetic insurer operating assumptions created for the ClaimIQ prototype and are not represented as IRDAI-prescribed thresholds.